Priorities and Registration

Class 5.1

Priorities and Registration

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Agenda

1. Allocating the "risk of loss"
2. Deeds registration
3. Title registration
4. Indefeasible title: the "curtain" principle
5. The "mirror" principle

Assume that A owns the legal fee simple in Greenacre, the only proof of which is a title deed document that A keeps in their sock drawer. Now imagine that this title deed is stolen by some unknown person (call them B) and sold to C, who pays the thief $200,000 but has no knowledge of the theft.

Who should be entitled to ownership of the land? How would you justify your position? What additional info might be relevant?

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Allocating the risk of loss LEVMORE:

- Fairness arguments not much help (both innocent)
- IDEA = "ALLOCATING RISK OF LOSS"
- Allocate loss to A = owner incentives to protect property
- Allocate loss to B = decides who to do business with, more opportunities to investigate shady behaviour or pedigree of title
- Allocate loss to A or B = who is the better insurer? (A can get theft insurance; B engages in more transactions so knows market better)
- Allocate loss to A or B = behaviour ex post ... replaceable, etc

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How would the **common law** resolve this problem according to the ***nemo dat* principle**?

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Nemo dat quod non habet

"One cannot confer on a transferee title that is greater than that held by the transferor." (You can't give what you don't have)

A holds title because B never had good legal title in the first place, so according to nemo dat B did not have anything to pass on to C.

ASK: What rationales does the "nemo dat" rule favour in this circumstance?

Places onus on C to investigate whether B had good title in the first place

Likely a result of the idea that with legal interests and written records, it is normally possible for C to carry out due diligence. The ND rule in these circumstances incentivizes C to do so.

Deed Registration Systems

History ...

Medieval era, LIVERY OF SEISIN (state of title rests in the collective member of the local community ... law as performance and ritual ... documents confirm not constitute transfer)

Early modern: Literacy becoming more widespread among land owning classes = shift to documentary modes of transfer = deed itself now constitutes transfer of title

"Title search" becomes the main process of verifying good title = search through chain of documents held by the vendor (i.e. still an entirely PRIVATE system)

18th Century: move to keeping PUBLIC records of title docs = DEEDS registration system — but registration of docs remains voluntary, so never perfectly reflects the state of title ... unregistered interests remain valid, so registry mainly serves function of reducing information/search costs

Until quite recently, this was the system in Nova Scotia

Main benefit of deed registration is therefore about making information about title more easy to access and search in a central repository ... Registration affects buyer's NOTICE of prior interests, but does itself say anything about the validity of those interests

Purchaser's solicitor has role of finding and evaluating all documents on title affecting parcel in question; usually 40 years — this search must be done every time property sold, even if only a few years have intervened ... so lots of duplicated effort

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Title Registration

- Curtain
- Mirror
- Net

BASIC DIFFERENCE = "registration of title" vs "title by registration"

Main goals:

1. Provide CERTAINTY of title
2. SIMPLIFY land transactions and therefore reduce TRANSACTIONS COSTS (information costs, search costs, etc)
3. Provide a compensation mechanism for innocent parties who lose out if defect in title ... also helps to increase the reliability of transactions

These re reflected in basic principles:

Curtain:

- Registry "draws a curtain" between the registered interest and any prior interests, making the registered owner THE owner of title in the absence of fraud on that owner's part
- Extent to which legislation fully reflects this ideal depends on whether system is one of DEFERRED or IMMEDIATE indefeasibility (explained in Lawrence v Wright)

Mirror:

- Going forward after registration, system reflects all relevant property interests at the present moment... so do not need to look elsewhere or do title searches to find out accurate state of title
- includes servitudes, leases (generally commercial), mortgages

Net:

- If a property owner suffers loss because of an error on the record, compensation is provided by the government via an "assurance fund"

- Won't cover in too much detail, but in general modern registration legislation sets out REASONS one might gain compensation (esp. where error in register or subject to fraud) and RESTRICTIONS that might bar one from gaining compensation.

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Curtain Principle

Indefeasible title: once registered, title to property cannot be lost, annulled or overturned by a prior defect in that title.

Who does this principle favour (seller or buyer)?

- Answer: buyer = "dynamic security"

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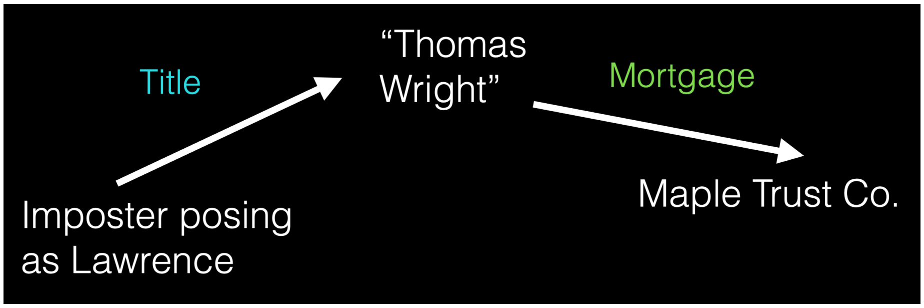
Lawrence v Wright



What happens if a property interest that would otherwise be void is accepted for registration AND subsequent purchasers rely on it in good faith and without notice of the defect?

Recall, definition of "indefeasible interest" is that it cannot be defeated by another claim.

Facts:

- Susan Lawrence owns the title to a house in Toronto; registered in Ontario's torrens system
- Imposter posing as Lawrence retains lawyer to sell Lawrence's home to Thomas Wright
- Wright then goes to Maple Trust Co. and gets a mortgage to fund purchase of the property.
- Fraudulent transfer of land in favour of Wright is registered in Ontario's land Torrens registry and Maple Trust forwards the money to Wright; register's its mortgage in the registry

- Wright takes the money and runs
- So, Maple Trust is claiming that it is entitled to rely on the registry in accordance with the mirror and curtain principles. Since it was innocent of the fraud its interest is valid.
- Lawrence is claiming that she was also innocent, and should therefore retain title to the land/house, free from the Maple Trust's mortgage

ASK: why does the court reject Lawrence's claim based on nemo dat?

- Lawrence says c/l rule applies: fraudster never had good title, so could not have passed anything to Wright, and Wright could not have passed anything to Maple Trust
- Court's position is illustration of CONCEPTUAL SHIFT in theory of title under Torrens system . . . it is the registry itself that grants/creates valid title by way of registration, so nemo dat cannot have any application (i.e. registry can in fact grant title where none existed before)

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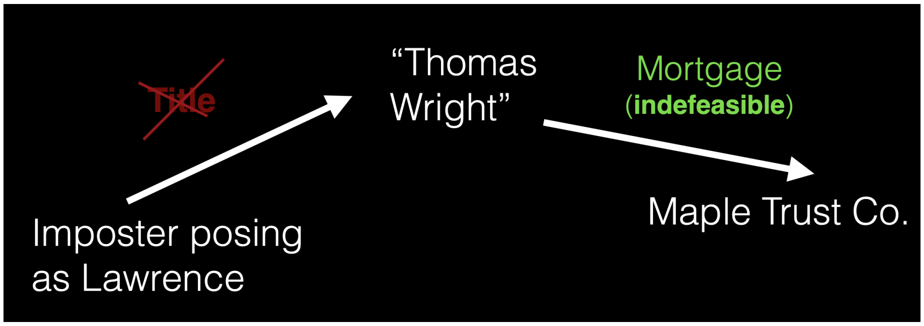
Immediate Indefeasibility



Two theories: immediate vs deferred indefeasibility

Basically two options that turn on "what point in time" a registered interest actually becomes indefeasible under the curtain principle:

Immediate indefeasibility (Maple Trust's argument)

- one's interest becomes indefeasible at the moment it is registered, so long as done without fraud
- under this theory, Maple Trust, an innocent party, has an indefeasible interest as soon as they register their mortgage on title
- note that even under this theory Wright, the fraudster, never gains title to the land

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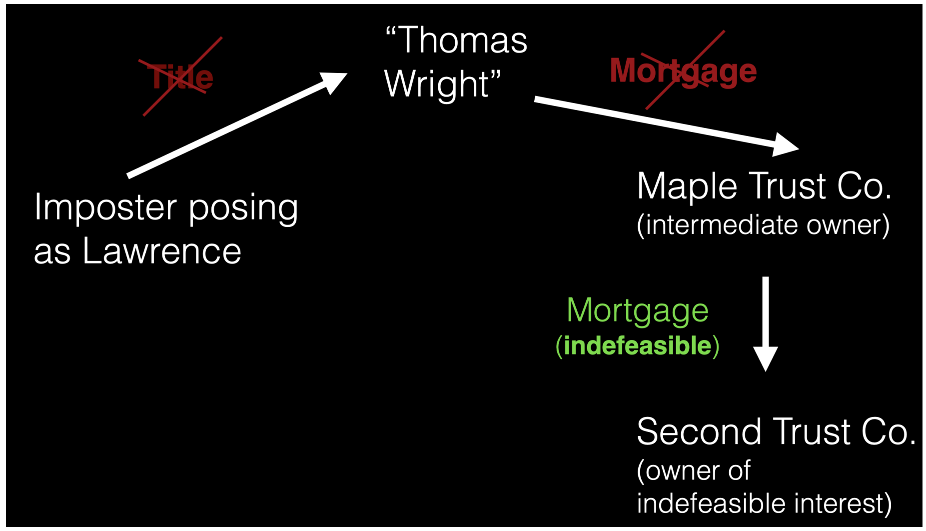

Deferred Indefeasibility

Deferred indefeasibility (Ontario's argument)

- one's interest becomes indefeasible only if one is "one step removed" from fraud
- here, Wright is fraudster and Maple Trust is the "intermediate owner" who takes interest from fraudster ... does not get good title
- Next person who takes from Maple Trust gets indefeasible title because "one step removed"
- Based on the idea that, even though Maple Trust had no notice of the fraud, was still in a "special position" to discover the fraud because dealt directly with Wright, the fraudster

COURT:

- Decides in favour of deferred indefeasibility:
- equally plausible interpretations of Ontario's legislation ... but legislative history reveals that amendment supporting "immediate indefeasibility" theory was a minor one (so doesn't support a major shift in this aspect of the system)
- policy = (i) homeowner has "special attachment" to property, whereas Maple Trust is just a business ... therefore MT better compensated by assurance fund
- policy = (ii) homeowner has NO chance to avoid the fraud; MT has some chance, even though did due diligence

***Land Registration Act*, SNS 2001, c 6-2** 35 (6) In determining whether it is just and equitable to confirm the registration objected to, the court shall consider

(a) the nature of the ownership and the use of the parcel by the parties;

(b) the circumstances of the registration;

(c) the special characteristics of the parcel and their significance to the parties;

(d) the willingness of any of the parties to receive compensation in lieu of an interest in the parcel;

(e) the ease with which the amount of compensation for a loss may be determined; and

(f) any other circumstances that, in the opinion of the court, are relevant to its determination.

ASK: How might Lawrence v Wright be decided differently under the governing legislative regime in Nova Scotia — particularly under section 35 of the Land Registration Act?

As in Ontario, no specific provision in LRA identifying whether NS follows immediate or deferred indefeasibility

Generally thought to be a system of deferred indefeasibility, but section 35 is unique b/c it afford the courts broad discretion to apply theory of immediate indefeasibility (i.e. "confirm the registration objected to") based on a number of factors laid out in section 35(6)

ASK: while this would seem to be a more flexible system, does it go too far to undermine the certainty that land registries are supposed to provide?

Mirror Principle

Registration accurately reflects all the current facts of title. This includes the current owner and all registered interests in the land, such as mortgages, certain leases, and servitudes.

Example: piece of land is registered by current owner, but current owner has entered into 5-year commercial lease with occupying business that the latter has failed to register on title. New party buys the land and registers their title: this registration gains PRIORITY over all prior unregistered interests, including the lease.

Mirror principle abolishes an important equitable doctrine of NOTICE — i.e. that if purchaser of legal title has NOTICE (i.e. real, imputed or constructive knowledge) of existing equitable interest (such as a restrictive covenant), then the equitable interest gains priority over purchasers title (i.e. it is still enforceable against the purchaser)

Policy shift in modern land registries toward certainty for purchasers = abolition of notice for all interests (legal and equitable).

BUT, courts have struggled with this idea where it appears that the registered title holder is TAKING ADVANTAGE of the mirror principle specifically to defeat prior unregistered interests

Courts have turned to the concept of FRAUD to attempt to draw a line between having "notice" of unregistered interests (which is allowed and does not itself amount to fraud) and "something worse" (which is not allowed).

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Holt Renfrew & Co v Henry Singer Ltd

Dickson (lawyer for the vendor/seller, Thompson & Dynes)

Pekarsky (lawyer for purchaser, Singer Ltd)

Holt Renfrew (long-term lease holder)

Building in Edmonton for sale by vendor, but has a long-term lease with Holt Renfrew (most recently from 1973 to 1990)

PROBLEM: Holt Renfrew fails to REGISTER the lease on title at the time when it was made

1978: Pekarsky approaches Dickson about his client purchasing the building; Dickson tells Pekarsky about lease and Pekarsky follows up by letter:

> "With respect to the matter of the existing tenant of the property, we do not believe that situation would be a deterrent to our client's interest."

Pekarsky subsequently finds out that Holt Renfrew's lease is NOT REGISTERED; proceeds with negotiations about sale without disclosing this fact OR retracting his earlier statement in the letter.

Parties reach a deal and Pekarsky immediately files a caveat in the land titles office (in effect, advanced notice of title interest to gain priority). Holt Renfrew finds out and subsequently files its own caveat to give notice of its lease interest. But vendor goes ahead with transfer to Singer.

ISSUE: did Pekarsky's conduct constitute FRAUD within the meaning of the Alta legislation, given that he knew about the prior unregistered interest?

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***Land Titles Act*, RSA 2000, c L-4** 203 Except in the case of fraud, no person … is affected by notice direct, implied or constructive, of any trust or unregistered interest in the land, any role of law or equity to the contrary notwithstanding, and the knowledge that any trust or unregistered interest is in existence shall not itself be imputed as fraud.

S. 203 of Alta Act provides that:

MIRROR PRINCIPLE: no transferee taking a transfer of registered title will be affected by a prior unregistered interest (e.g. lease interest)

knowledge of any prior unregistered interest on the part of the transferee will NOT of itself be considered fraud (eliminates notice requirement from c/l)

So question is: what DOES constitute "fraud" within meaning of the Act?

Judges effectively agree on the appropriate test for "fraud":

1. Pekarsky had ACTUAL KNOWLEDGE of Holt's unregistered interest and knew that that interest would be defeated by the sale and registration
2. Pekarsky made a MISREPRESENTATION about his knowledge of Holt's unregistered interest (and intention of his client to seek to defeat the lease) AND Dickson RELIED on (i.e. was misled by) the misrepresentation in agreeing to the deal

If Perkarsky's action met this test, then the lease would receive priority

BUT judges differ on factual question of whether or not Dickson actually RELIED on Perkasky's earlier statement

McDermid (minority) = Dickson actually RELIED on Perkarsky's earlier statement (finds that Thompson & Dynes would not have been willing to sell if they knew purchaser not bound by lease)

Moir (majority) = was no RELIANCE on Pekarsky's statement, i.e. Dickson MISTAKENLY relied on the CERTIFICATE OF TITLE from the land registry (which listed the earlier 1950 caveat, but not the 1973 lease because it was never recorded), i.e. Dickson relied on his OWN mistake rather than Pekarsky's misrepresentation

KEY POINT = both judgments imply that if Pekarsky had not made the initial representation but simply stood by with knowledge that the sale would defeat HR's lease, this would NOT have amounted to fraud.

This reinforces the importance of the mirror principle: notice itself is not enough to invalidate the mirror principle and give registered interests priority.

However, mirror principle (like curtain principle) has its limits: it won't condone fraudulent behaviour.

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***Alberta v McCulloch* (1991)**

Should a person who holds registered title be able to establish a numbered company and effect a transfer of title to that company in order to defeat another party's interest in the land?

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***Land Registration Act*, SNS 2001, c 6-1** 74 (1) Except as provided by Section 75, no person may obtain an interest in any parcel registered pursuant to this Act by adverse possession or prescription unless the required period of adverse possession or prescription was completed before the parcel was first registered.

(2) Any interest in a parcel acquired by adverse possession or prescription before the date the parcel is first registered pursuant to this Act is absolutely void against the registered owner of the parcel in which the interest is claimed ten years after the parcel is first registered pursuant to this Act, . . .

Under section 74-75 of Nova Scotia's Land Registration Act, still possible to claim adverse possession and easements by prescription against registered owner — however these rights have been significantly limited.

Example of legislature's attempts to balance priorities under land registry system (in favour of purchasers) against interests of those with right arising from long use/occupation.

Recap

- Curtain
- Mirror
- Net